EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

HOLD
Blended Target: $400.42
DCF + Comps + Analyst (see cross-check table)
Implied upside: +7.4%

Technology · Software - Infrastructure
Large Cap (>$200B) · Report Date: June 27, 2026
Latest financials: Q2 FY2025 · Model data as of 2026-06-27

Price (Jun): $372.97

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target $400.42 (+7.4% vs $372.97); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **HOLD** rating; blended target $400.42. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$2.77T	Shares Out.	7428.4M
52-Week Range	$349.20 – $555.45	P/E (TTM)	22.2x
P/B	6.7x	Beta	1.10
Avg Volume	39.15M	Analyst Rec.	Strong_Buy
Revenue (TTM)	$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	$71.61B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income ($M)	88,136	101,832	120,467	136,803	150,814
Net Income Growth (%)	N/A	15.5%	18.3%	13.6%	10.2%
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
ROE (%)	32.8%	29.6%	35.1%	36.1%	37.9%
EPS ($)	11.86	13.71	16.22	18.42	20.30
Book Value / Share ($)	36.14	46.24	46.24	50.98	53.53
P/E (x)	31.44	27.21	23.00	20.25	18.37
P/B (x)	10.32	8.07	8.07	7.32	6.97
Dividend Yield (%)	98.0%	98.0%	98.0%	98.0%	98.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$215.60	-42.2%	0% (excluded)	Diverges below other methods (45% of median)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median)	$415.06	+11.3%	—	Peer median P/E 24.7x
Comps — EV/EBITDA (peer median)	$400.42	+7.4%	—	Peer median 18.8x
Comps — P/S (peer median)	$215.44	-42.2%	—	Peer median P/S 5.0x
Comps — Blended (avg. of available multiples)	$400.42	+7.4%	100%	Included in blend
Analyst consensus (Yahoo Finance)	$561.11	+50.4%	0% (excluded)	Analyst target >50% above price (likely stale)
Blended target (weighted)	$400.42	+7.4%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (|upside| ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.07%
Terminal g	4.00%
FCFE growth	9.15%
Base FCFE	$71.61B
PV explicit (5Y)	$366.36B
PV terminal	$1.24T
Equity value (adj.)	$1.60T
Implied price	$215.60
vs. current	-42.2%

INDUSTRY ANALYSIS

1. Industry Overview
Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers Microsoft 365 commercial, enterprise mobility + security, windows commercial, power BI, exchange, sharepoint, Microsoft teams, security and compliance, and copilot; Microsoft 365 commercial products, such as Windows commercial on-premises and...

2. Key Trends
• Strong top-line growth (18.3% YoY)
• High operating leverage (46.3% margin)
• Sector: Technology | Industry: Software - Infrastructure

3. Risk Factors
• Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	$427.84B	25.4x	18.7x	25.4%	+20.6%
CRM	Salesforce, Inc.	$129.71B	18.4x	12.4x	18.7%	+13.3%
NOW	ServiceNow, Inc.	$101.42B	58.5x	34.2x	12.6%	+22.1%
IBM	International Business	$255.30B	24.0x	18.9x	15.6%	+9.5%
MSFT*	Microsoft Corporation	$2.77T	22.2x	15.3x	39.3%	+18.3%

* Subject company. P/e in line with peer median; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.